Cedar National Bank (CNB) Rules & Policies Handbook

Fictional retail banking policy handbook • Version 1.0

SYNTHETIC DEMONSTRATION DOCUMENT

Not an official bank policy or regulatory publication.

Prepared for CIDAN agent development, document extraction, policy mapping and sandbox testing.

Cover — Fictional Bank Policy Handbook

Prepared for CIDAN development and demonstration. This handbook is for a fictional institution named Cedar National Bank (CNB).

Important notice

This is a synthetic training document created for software testing. It is not the policy of any real bank, and its terms must not be used as legal, financial, or compliance advice.

Purpose

Provide realistic-looking sample policies across retail banking products so CIDAN can extract policy clauses, map obligations, identify gaps, draft changes, and test rules.

Document control

Owner: Fictional Compliance and Policy Office | Version: 1.0 | Illustrative issue date: 25 October 2026 | Review cadence: annual or after material regulatory change.

Governance, scope and definitions

This page defines how the fictional bank maintains and governs policies.

Scope

• Applies to the fictional bank's retail deposits, savings schemes, debit cards, credit cards, personal loans and home loans.

• Applies to employees and approved service providers where relevant to their assigned duties.

• Actual products, fees, eligibility, and legal obligations must be checked against current official sources before use.

Governance principles

• Board-approved policy sets high-level requirements; product procedures describe operational steps.

• Policy owners review changes and document rationale, approvals, effective dates and superseded versions.

• Conflicts between policies must be escalated to Compliance and Legal; staff must not resolve material conflicts informally.

Definitions

Customer: a person or entity with a banking relationship. KYC: customer identity and due diligence checks. EMI: equated monthly instalment. APR: annualised cost measure where applicable. Maker-checker: one employee prepares an action and another authorized employee reviews it.

Customer onboarding and KYC

Synthetic policy for customer acceptance and ongoing due diligence.

Customer identification

• Collect identity and address evidence permitted by applicable law and the bank's approved KYC procedure.

• Verify information using approved sources and record the method, date, reviewer and outcome.

• Do not open accounts under fictitious, anonymous or prohibited names.

Risk classification

• Assign a documented risk category using approved factors such as product, geography, customer type and transaction profile.

• Apply enhanced due diligence where required by the bank's approved risk rules.

• Reassess customer records when information changes or monitoring indicates a material risk.

Exceptions and records

Any permitted exception requires a reason, an authorized approver, an expiry or review date, and an audit trail. Never invent or waive a legal requirement.

Savings accounts and deposit servicing

Fictional rules for savings products and day-to-day deposit servicing.

Account opening and access

- Explain account features, minimum balance conditions if any, applicable charges and service channels before activation.
- Provide customers with account terms and a way to access the current schedule of charges.
- Protect credentials and never ask a customer to disclose a PIN or one-time password to staff.

Interest and balances

- Calculate interest according to the product's disclosed terms and applicable requirements.
- Display balance, holds, charges and interest entries accurately in statements.
- Correct confirmed posting errors through an authorized adjustment process with audit evidence.

Dormancy and closure

- Use approved rules to classify inactive accounts and communicate applicable steps.
- Verify customer identity before closure or sensitive account changes.
- Escalate disputed balances, deceased-customer cases and suspected fraud to the relevant specialist team.

Recurring deposits and savings schemes

Synthetic guidance for recurring deposits and savings products.

Product disclosure

• State deposit amount, frequency, tenure, maturity method, interest basis and premature closure conditions.

• Explain consequences of missed instalments and any permitted charges before enrolment.

• Provide a confirmation containing the chosen product and schedule.

Instalment handling

• Track due dates and successful payments.

• Notify customers of failed collections through approved channels.

• Do not apply a penalty unless it is permitted by the product terms and applicable rules.

Maturity and premature closure

• Calculate maturity proceeds using the documented product terms.

• Verify identity and account destination before payment.

• Record approvals for manual adjustments and communicate the final calculation to the customer.

Additional savings schemes

Maintain separate approved terms for eligibility, contributions, maturity, withdrawal and tax treatment. Verify actual product-specific requirements before describing them as regulatory rules.

Debit cards and digital access

Fictional operational policy for debit-card issuance and servicing.

Issuance and activation

- Issue a card only after account eligibility and identity checks are satisfied.
- Deliver the card and activation instructions using approved secure channels.
- Require customer authentication before activation or sensitive changes.

Security and disputes

- Provide a clear way to report a lost card or suspected unauthorized transaction.
- Block or restrict access according to the approved incident procedure.
- Record dispute time, transaction details, customer communication and investigation outcome.

Limits and changes

- Disclose transaction limits and applicable charges.
- Require appropriate authentication for limit changes.
- Monitor repeated failed authentication and suspicious activity using approved controls.

Credit cards and billing

Synthetic policy for credit-card application, billing and servicing.

Application and eligibility

• Assess identity, affordability, creditworthiness and applicable eligibility requirements.

• Disclose fees, interest, billing cycle, payment due date, minimum payment and consequences of non-payment.

• Record the customer's consent and the version of the terms accepted.

Billing and repayment

• Generate statements with transaction details, fees, interest and payment information.

• Apply payments according to documented allocation rules.

• Provide a dispute process and preserve evidence of statement corrections.

Customer protection

• Do not issue or upgrade products without the required consent.

• Communicate changes to charges or terms through approved channels and timelines.

• Investigate unauthorized transactions and complaints using documented procedures.

Personal loans and small-ticket credit

Fictional policy for unsecured personal lending, including small-value applications.

Application intake

• Record requested amount, purpose, income evidence, existing obligations and contact preferences.

• Acknowledge receipt and identify missing documents.

• Explain that an application is not approved until all required checks and delegated approvals are complete.

Credit assessment

• Assess repayment capacity, verified income, liabilities, credit history and fraud indicators.

• Use documented decision criteria and apply them consistently.

• Escalate inconsistent data, suspected identity misuse and exceptions outside delegated authority.

Decision communication

• Record approve, decline or refer-for-review outcomes with reasons and reviewer details.

• Communicate material terms, fees, interest basis, repayment schedule and required documentation before acceptance.

• Do not describe a synthetic threshold in this handbook as an RBI-mandated threshold.

Home loans and property finance

Fictional operational policy for home-loan assessment and servicing.

Eligibility and appraisal

• Verify applicant identity, income, employment or business stability, liabilities and repayment capacity.

• Conduct property valuation and legal-title checks through approved processes.

• Assess loan-to-value and other limits according to current applicable regulation and the bank's board-approved policy.

Sanction and disbursement

• Issue a sanction letter with amount, rate, tenure, fees, conditions and validity.

• Disburse only after required legal, valuation, documentation and condition-precedent checks.

• For under-construction property, follow approved disbursement milestones and evidence requirements.

Servicing

• Provide repayment schedules and a way to request account statements.

• Apply interest-rate resets and borrower options according to current applicable requirements and product terms.

• Track property-document custody and release actions after repayment according to applicable rules.

EMI, interest and repayment handling

Synthetic controls for instalment-based lending.

EMI calculation

• Use a documented calculation method with principal, annual interest rate, payment frequency and tenure.

• Validate rounding and dates using test cases before a calculation change is released.

• Explain that actual bank calculations may also depend on disbursement timing, day-count conventions, fees and contractual terms.

Repayment collection

• Track due dates, receipts, reversals and failed collections.

• Reconcile payment records with the loan ledger.

• Send arrears communications using approved, respectful channels.

Rate changes and prepayment

• Communicate rate changes and any resulting EMI or tenure impact as required.

• Offer only those conversion, prepayment or restructuring options applicable to the product and current rules.

• Do not impose charges without contractual and regulatory authority.

Loan underwriting and approval authority

Fictional control framework for credit decisions.

Decision stages

- Identity and document verification.
- Affordability and credit-risk assessment.
- Fraud and sanctions screening where applicable.
- Policy eligibility and exception checks.
- Approval under the correct delegated authority.

Maker-checker and delegation

- The preparer cannot approve a transaction where separation of duties is required.
- Approval limits must be maintained in a controlled, versioned authority matrix.
- Escalate applications exceeding an officer's delegated limit.

Auditability

Store input evidence, rule versions, calculation outputs, manual overrides, approval identities and timestamps. A model recommendation must not replace required human or delegated credit approval.

Fair lending, disclosures and customer communications

Fictional policy for clear and fair treatment.

Transparency

• Disclose material interest rates, fees, penalties, repayment terms and conditions before customer acceptance.

• Provide a copy of the accepted agreement and referenced enclosures as required.

• Explain the main reason for a declined application where applicable rules require it.

Customer communication

• Use clear language and accessible channels.

• Record customer consent and communication preferences.

• Do not promise approval before the authorized decision is complete.

Complaints

• Acknowledge complaints, assign an owner and track resolution.

• Escalate unresolved or sensitive complaints under the approved grievance process.

• Maintain complaint evidence and corrective actions.

Fraud monitoring, privacy and information security

Fictional policy for protecting customer information and banking operations.

Data minimization

• Access only information needed for an assigned role.

• Mask sensitive information in logs and test reports.

• Use synthetic or approved de-identified data for development and testing.

Fraud monitoring

• Use documented rules to flag unusual activity for investigation.

• Do not treat a risk alert as proof of wrongdoing.

• Record analyst decisions and escalation outcomes.

Access and incidents

• Apply least privilege and periodic access reviews.

• Protect data in transit and at rest according to approved standards.

• Report suspected data exposure or system compromise through the incident response process.

Records retention, audit and model governance

Fictional control requirements for record lifecycle and automated decision support.

Records

• Assign retention periods based on applicable law, regulatory instructions, product needs and approved schedules.

• Suspend deletion where a legal hold or investigation applies.

• Log access, edits, approvals and exports of policy and rule records.

Automated systems

• Version model prompts, rule definitions, test datasets and evaluation reports.

• Use labelled reference examples to measure extraction and mapping performance.

• Require human review of low-confidence interpretations and material rule changes.

Audit readiness

Every proposed change should be traceable from source clause to obligation, policy mapping, rule version, test evidence, approval and deployment record.

Policy exceptions, change management and approvals

Fictional end-to-end governance controls for changing bank policy.

Policy change request

• Identify the reason for change and the source requirement.

• Map affected policies, products, systems, customers and operational processes.

• Record old and proposed wording, owners, risk assessment and effective date.

Testing and release

• Test boundary cases, negative cases, regression behavior and exception paths.

• Require evidence from a staging environment representative of the target system.

• Obtain documented approval from authorized Compliance, Risk and IT reviewers before production release.

Rollback and review

• Maintain a recoverable prior version and rollback plan.

• Monitor post-release outcomes and investigate unexpected behavior.

• Schedule a post-implementation review and record any corrective actions.

Sample controls

• Loan application must record requested amount and application ID.

• Loan decisions must retain decision reasons and rule versions.

• Home-loan disbursement requires recorded completion of applicable checks.

• Card disputes require a case ID, event time and outcome.

• Policy changes require source traceability, testing evidence and approval.

How CIDAN should use this handbook

Treat each section and bullet as fictional policy text. Extract clauses into a structured repository, compare them with a separately labelled synthetic circular, and report gaps without claiming legal compliance.

Disclaimer

This 16-page handbook is synthetic content for software development and demonstration only. It is not issued or endorsed by any bank, RBI, or other regulator. Actual bank policies must be obtained from the relevant institution and validated against current official law and regulatory directions.